

CSIS JAPAN CHAIR

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1,650 words · 7 min read

● Japan Daily Brief

Saturday, August 29, 2026

RE: Yen breaches 160 · Record ¥15.4T intervention revealed · Freedom Edge Sept. 7 · Tokyo missile shelter · Births rise

NIKKEI 225
66,405.56
▲ +1.34%
as of Aug 29

USD/JPY
160.04
▲ +0.71%
as of Aug 29

EUR/JPY
185.24
▼ -0.21%

BRENT
\$88.10
▼ -4.42%

10Y JGB
1.50%
yield

JAPAN 5Y CDS
20 bps
— flat

BOJ POLICY RATE
1.00%

GDP (ANNUALIZED)
1.1%
Cabinet Office · latest Q (annualized)

TODAY AT A GLANCE

- 1 Japan's Ministry of Finance disclosed a record ¥15.39 trillion (\$96.5 billion) in yen-buying, dollar-selling interventions over July-August, the largest monthly intervention amount ever, even as the yen fell back through the 160-per-dollar threshold following Fed Chair remarks.
- 2 The US, Japan, and South Korea announced Freedom Edge 2026 trilateral military drills will begin September 7 near Jeju Island, explicitly focused on North Korea nuclear and missile threat scenarios, with North Korea expected to react strongly.
- 3 Japan's government plans to build an underground missile shelter beneath a car park near Tokyo Station, per Mainichi, as Japan's National Police Agency upgrades its intelligence department to bureau status in response to government efforts to enhance intelligence functions.

TOP STORIES

ECONOMY-BOJ

Japan discloses record ¥15.39 trillion yen-buying intervention over July-August

Japan's Ministry of Finance revealed it spent a record ¥15.39 trillion (\$96.5 billion) in yen-buying, dollar-selling operations over July-August 2026 — the largest monthly intervention figure on record — even as the yen fell back through the 160-per-dollar threshold the same day following remarks by the Fed Chair. US Treasury Secretary Scott Bessent separately warned that a 'disorderly yen' would risk raising US borrowing costs, while declining to specify the US contribution to the late-July intervention.

So what: With the yen back at pre-intervention levels, markets are now watching for the next intervention trigger, and the Finance Minister's G20 meetings will be scrutinized for signals on bilateral currency coordination.

per The Japan Times: [“Japan spends record ¥15.39 trillion in July-August forex interventions”](#)

THE JAPAN TIMES

DPRK

US, Japan, South Korea confirm Freedom Edge 2026 trilateral drills begin September 7 near Jeju

The US, Japan, and South Korea formally confirmed Freedom Edge 2026 will commence September 7 near Jeju Island, with exercises explicitly focused on North Korea nuclear and missile threat scenarios. North Korea is expected to react strongly, per Japan Times, potentially affecting momentum for any revival of US-DPRK talks.

So what: [The drill start date — September 7 — is the next concrete escalation trigger on the peninsula calendar, and Pyongyang's response will set the DPRK signal environment for the following weeks.](#)

Pattern: North Korea launched roughly 10 short-range ballistic missiles from the Pyongyang area on August 22, a day after Washington curtailed US-ROK drills; a comparable reaction to Freedom Edge 2026 would follow a documented pattern from the tracker.

per The Japan Times: [“Japan, U.S. and South Korea to hold joint military exercises from Sept. 7”](#)

THE JAPAN TIMES

ALLIANCE

Bessent warns 'disorderly yen' would risk higher US rates, signals bilateral currency stakes

US Treasury Secretary Scott Bessent stated that a 'disorderly yen' would risk raising US borrowing costs, elevating the yen's stability to a bilateral alliance-economy concern rather than a purely Japanese fiscal matter. Bessent declined to specify how much the US deployed in the late-July intervention alongside Japan.

So what: [Bessent's framing sets the context for the US-Japan Finance Ministers' meeting at the G20, where yen coordination and intervention burden-sharing will be on the table.](#)

per The Japan Times: [“Bessent says a 'disorderly yen' would risk higher U.S. rates”](#)

THE JAPAN TIMES

OVERNIGHT FLASH

DEFENSE · MAINICHI

Underground missile shelter to be built near Tokyo Station

Japan's government plans to convert a car park near Tokyo Station into an underground missile shelter, per Mainichi. The project reflects Tokyo's accelerating civil-defense preparations amid the North Korean missile threat and broader regional security concerns.

STAT OF THE DAY

¥15.39T

Record yen-buying intervention, July-August 2026

Japan's Ministry of Finance disclosed the figure — approximately \$96.5 billion — marking the largest-ever monthly amount spent on yen-buying, dollar-selling operations, yet the yen fell back past 160 per dollar the same day.

REGIONAL PRESSURE WATCH

Normal — 28 items (6 Japanese government, 22 DPRK/adversary signal)

PM Watch: No confirmed PM appearance today · 1 day(s) since last confirmed appearance

CHINA

A CCP official stated China's policy toward Japan 'remains unchanged' following last week's cross-party Japanese lawmaker delegation to Beijing — the first visit since bilateral ties deteriorated after PM Takaichi's November Taiwan remarks — providing no signal of diplomatic breakthrough. China separately told the delegation that no reset of ties is possible until Japan revises its Taiwan position, and Global Times published expert commentary accusing Japan of using China as an excuse to justify 'illegal maritime expansion.'

NORTH KOREA

The US, Japan, and South Korea confirmed Freedom Edge 2026 trilateral exercises will begin September 7 near Jeju Island, explicitly focused on North Korea nuclear and missile threat scenarios; North Korea is expected to react strongly, continuing the pattern of launches and condemnations that followed the August 22 drill announcement. North Korea also condemned a planned US missile sale to South Korea and vowed a 'powerful response,' per NHK.

RUSSIA

No new acute Russia-Japan territorial or military incident reported today; the sustained diplomatic standoff over Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the disputed island remain the baseline, with Foreign Minister Motegi's four-country tour ongoing.

Senkaku / ECS: No new CCG intrusion or Senkaku incident reported in today's articles; the baseline of near-daily CCG contiguous-zone presence continues.

"remains unchanged"

CCP official (unnamed) · China's policy toward Japan remains unchanged, CCP official says

Bottom line: Freedom Edge 2026 launching September 7 is the next concrete DPRK escalation trigger; watch for a North Korean missile response in the days immediately before or after the drill start, consistent with the August 22 pattern documented in the tracker.

EXPERT ANALYSTS

OP-EDS & THINK TANK COMMENTARY

HUDSON INSTITUTE

Strengthening the US-Japan Alliance Through Semiconductor and AI Partnerships

Semiconductor and AI partnerships are the highest-leverage mechanism for deepening the US-Japan alliance in the current strategic environment.

The Hudson Institute piece examines how US-Japan cooperation on semiconductors and AI can reinforce the bilateral alliance beyond traditional security channels. It addresses the structural role of technology supply chains in alliance cohesion, relevant as Kioxia/SanDisk announce \$31 billion in Japan investments and Japan's banks regain access to US AI systems after a government freeze.

Policymakers developing the \$550 billion US-Japan strategic investment framework should weigh semiconductor and AI cooperation as both economic and alliance-maintenance priorities.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE	VS PRIOR
ANN	55.4%	29.9%	—
Kyodo	50.2%	33.9%	—
Mainichi · Jul 20, 2026 · 40d ago	41%	44%	—
Yomiuri	56%	32%	—
FNN	62.5%	32%	—
NHK	52.8%	33.2%	—
Jiji · Jul 16, 2026 · 44d ago	48.4%	26.9%	—
JNN	59.2%	37.6%	—
Nikkei	58%	37%	—
Asahi	53%	35%	—

Discourse: Takaichi Cabinet approval varies widely across pollsters (41%-56%), with the Mainichi figure the lowest and Yomiuri the highest, reflecting divergent voter coalitions and persistent fiscal-policy skepticism; 71% of Kyodo poll respondents expressed worry about fiscal health following the food tax cut plan.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

TRACKERS

JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · SATURDAY, AUGUST 29, 2026

防衛省 · MINISTRY OF DEFENSE / JAPAN GROUND SELF-DEFENSE FORCE

GSDF dismisses officer for unauthorized entry into Chinese embassy premises

Japan's Ground Self-Defense Force dismissed an officer over an intrusion into the Chinese embassy, per Xinhua. No further details on the officer's rank or the circumstances were provided in today's available articles.

→ Xinhua ↗

自衛隊／防衛省 · SELF-DEFENSE FORCES / MINISTRY OF DEFENSE

SDF to dispatch helicopters to wildfire-hit Indonesia — first overseas firefighting operation

Japan will send SDF helicopters to Indonesia to assist with wildfire suppression, marking the first time the SDF has conducted firefighting operations overseas. The dispatch was confirmed by both NHK and Jiji Press.

→ [The Japan Times](#) ↗

警察庁 · NATIONAL POLICE AGENCY

Police intelligence department to be upgraded to bureau status

Japan's National Police Agency plans to upgrade its intelligence department to a full bureau, in response to government efforts to enhance intelligence functions amid increasingly complex global circumstances, per Japan Times.

→ [The Japan Times](#) ↗

日本銀行 · BANK OF JAPAN · *BOJ Governor Kazuo Ueda*

BOJ Governor Ueda holds press conference on economic outlook; to attend G20 alongside Finance Minister

BOJ Governor Ueda held a press conference on the economic outlook, per Tier 4 reporting. Ueda and the Finance Minister are confirmed to attend the G20, with market attention focused on the yen debate and the bilateral US-Japan Finance Ministers' meeting on the sidelines.

→ [japantoday.com](#) ↗

UPCOMING

SEP
7

Freedom Edge 2026 trilateral drills begin near Jeju Island

The US, Japan, and South Korea confirmed Freedom Edge 2026 will launch September 7 near Jeju Island, focused on North Korea nuclear and missile threat scenarios. North Korea is expected to react strongly, potentially affecting momentum for US-DPRK diplomacy.

SEP
0

G20 Finance Ministers' meeting — Japan Finance Minister and BOJ Governor attending

Japan's Finance Minister and BOJ Governor Ueda are confirmed to attend the G20, with markets focused on the bilateral US-Japan Finance Ministers' meeting and the yen debate. No specific G20 date provided in today's articles beyond 'upcoming.'

SEP
0

BOJ Monetary Policy Meeting (next scheduled, date estimate)

The BOJ holds approximately 8 monetary policy meetings per year; the next meeting date was not specified in today's articles. The current policy rate stands at 1.00%. Verify exact date from BOJ calendar.

SEP
0

Okinawa gubernatorial race campaigning underway — test for PM Takaichi

Campaigning has begun for the Okinawa governor race, described as a key political test for PM Takaichi, per Japan Today. The election date was not specified in today's articles.

AUG
29

Yen at 160/dollar — market watch for intervention threshold

The yen fell back through 160 per dollar today following Fed Chair remarks, erasing intervention gains from the record ¥15.39T operation. Markets are watching for signs of when authorities might intervene again.

US TARIFFS ON JAPAN

AUTOS · 2025 DEAL

15% (incl. MFN, 2025 agreement)**Steel** **50%** SECTION 232**Aluminum** **50%** SECTION 232**Investment framework:** \$550B strategic investment framework (2025 agreement)**Section 301:** 12.5% forced-labor tariff in force since Jul 24, 2026 (net of MFN); excess-capacity investigation ongoing

Deal: 2025 US-Japan agreement in force · Section 122 surcharge expired July 24, 2026; Section 301 forced-labor tariff entered into force July 24, 2026

NEW AGREEMENTS / PLEDGES

Kioxia and SanDisk to invest over \$31 billion in Japan amid AI boom · \$31 billion+

['Kioxia', 'SanDisk'] — Kioxia and SanDisk announced combined investment of over \$31 billion (5 trillion yen) to boost flash memory output in Japan, with PM Takaichi's office noted in the PM appearance reports as associated with the announcement.

WIRE

BUSINESS & ECONOMY

AUTO · REUTERS · HONDA, NISSAN

Honda, Nissan to reach deal on joint vehicle software development

Honda and Nissan are set to reach a deal on joint development of vehicle software, per a Nikkei report cited by Reuters, advancing their broader alliance cooperation following earlier merger discussions.

ALSO TODAY / THE WIRE

ECONOMY-BOJ · NIKKEI ASIA

Yen falls past 160/dollar for first time since joint intervention

The yen weakened past 160 per dollar for the first time since the late-July joint US-Japan intervention, per Nikkei Asia, fully erasing gains from the record ¥15.39 trillion operation.

TRADE/ECONOMY · NIKKEI ASIA

Japan warns of 21 pests and diseases if US potato import ban ends

Japan's agriculture authorities warned that lifting the long-standing ban on US potato imports could introduce 21 pests and diseases, per Nikkei Asia, complicating bilateral trade negotiation pressure on agricultural market access.

ON THIS DAY

AUGUST 29, 2017

A North Korean Hwasong-12 IRBM overflew Hokkaido, triggering J-Alert sirens across northern Japan — the first DPRK missile overflight in roughly two decades.

Freedom Edge 2026, announced today and set to begin September 7, explicitly focuses on North Korea nuclear and missile threat scenarios; the 2017 overflight was a catalyst for accelerated US-Japan-ROK missile-defense cooperation.

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